

THE ILLUSION OF WEALTH: LOOKING RICH

In pop culture, master illusionists of wealth are called “30K millionaires.” If you haven’t heard this phrase, it characterizes someone who maintains an image of a millionaire, yet has no net worth. These folks aren’t hard to find. They drive entry-level BMWs with custom chrome rims, they wear fancy designer clothes with gothic cursive lettering from some faux French guy, and they congregate in the VIP section of the club ordering bottle service, of course, on credit. These folks broadcast like dashing debutantes with an extraordinary A-game, but behind all the flash-and-cash they’re miserable magicians of the Sidewalk.

The problem with *looking* wealthy versus *being* wealthy is that the former is easy while the latter is not. Easy credit and long-term monthly financing options (make no payments for one year!) are tempting conduits to help you purchase the illusion of wealth. Society has led you to believe that wealth can be bought at a mall, at a car dealership, or on an infomercial. Like my initial spending spree when I cashed my first check, these appearances of wealth are supposed announcements to the world: “I’m rich!”

But are you? When you finance an \$80,000 Mercedes Benz over six years because that’s all you could afford, that isn’t wealth, but impersonation of wealth. You’re fooling yourself, and it’s a Fastlane detour. But don’t jump the bandwagon yet; this isn’t a sermon about how you can’t spend money on pricey German sedans. Not at all.

Wealth isn’t embodied in a car but in the freedom to know that you can buy it. Freedom to walk into the dealership, know your price, pay cash, and drive away. For a gift, I bought my brother a new Lexus. It was the easiest transaction I ever did. I researched the car and determined the price I wanted to pay. I walked into the dealership with a cashier’s check and told the salesman, “I have a cashier’s check for \$44,000 and I want to buy that car. I need a YES or a NO.” Twenty minutes later, I owned a Lexus. This is wealth, not an impersonation of wealth.

When I drive to the gym, I pass a dilapidated apartment complex near the expressway. In the parking lot I always see the same car parked: a shiny black Cadillac Escalade with 22-inch chrome custom rims. Do you see the incongruity? You live in a crappy apartment but you drive a \$60,000 car with \$10,000 rims? Do I see monitors in those headrests and hear a 24-speaker stereo? Geez, 90 grand of image and two bucks of common sense. Wouldn’t it be wiser if you focused on owning a nice house in a nice neighborhood instead of leasing the tightest car in the Marbella Gardens apartment complex? *Priorities: Some want to look rich, while others want to be rich.*

FAUX WEALTH DESTROYS REAL WEALTH

“Faux wealth” is the illusion of wealth without having it. It believes society’s definition of wealth. It’s not realizing that the pursuit of “faux wealth” does something terribly destructive: *It destroys real wealth.*